

# Personal Financial Statement Walkthrough

How to fill out a personal financial statement (PFS) accurately, section by section, in plain English.

## Where to get the form

This guide explains the sections you will see on most PFS forms, including SBA Form 413. It does not reproduce the form. Get the current SBA Form 413 at <https://www.sba.gov/document/sba-form-413-personal-financial-statement> (effective Feb 13, 2025, as checked Oct 1, 2026), or ask your lender for their own PFS form. Many lenders use their own.

## What a PFS is

A personal financial statement is a snapshot of what you own, what you owe, and what you earn, as of a specific date. Lenders use it to understand the financial strength of the people standing behind a business loan, especially anyone who will personally guarantee it.

**Who usually fills one out?** Your lender will tell you. It is common for each owner of 20% or more to complete one, because those owners generally guarantee SBA loans and often conventional loans too.

## Before you start: gather these

- Latest statements for every bank, brokerage, and retirement account
- Mortgage, auto loan, student loan, line of credit, and credit card statements
- Property tax assessments or recent appraisals for any real estate you own
- Life insurance statements showing **cash surrender value** (not just the death benefit)
- Your most recent personal tax return (helps you catch income and properties you might forget)
- A list of any loans you have personally guaranteed, for your business or anyone else

## Section by section

### Assets: what you own

| Line                                | What to put                                                                                  | Watch out for                                                                                      |
|-------------------------------------|----------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|
| Cash on hand and in banks           | Checking and savings balances as of the statement date.                                      | Use personal accounts only. Business accounts belong to the business.                              |
| Savings, CDs, money market          | Current balances.                                                                            | Note if any are pledged as collateral elsewhere.                                                   |
| Retirement accounts (IRA, 401(k))   | Current vested balance.                                                                      | List separately if the form allows. Lenders know these may carry penalties and taxes if tapped.    |
| Stocks and bonds                    | Current market value. Many forms ask for a supporting list.                                  | Do not use what you paid. Use today's value.                                                       |
| Life insurance cash surrender value | Only the cash value you could get if you surrendered the policy today.                       | The death benefit (face amount) is not an asset on a PFS. This is one of the most common mistakes. |
| Accounts and notes receivable       | Money people owe <b>you personally</b> , such as a loan to a family member.                  | Be realistic about whether it will be repaid.                                                      |
| Real estate                         | Current market value of each property. Details go on the real estate schedule.               | Use a fair, supportable value, not a hopeful listing price.                                        |
| Automobiles                         | Realistic resale value.                                                                      | Not what you paid, and not the sticker price.                                                      |
| Other personal property             | Valuables with real resale value.                                                            | Keep it reasonable. Household goods at replacement cost inflate your numbers.                      |
| Business ownership                  | Follow the form's instructions. Many forms ask for ownership percentage rather than a value. | Do not list business equipment or business cash as personal assets.                                |

### Liabilities: what you owe

| Line                              | What to put                                                      | Watch out for                                                            |
|-----------------------------------|------------------------------------------------------------------|--------------------------------------------------------------------------|
| Accounts payable                  | Bills you owe personally that are past the normal monthly cycle. |                                                                          |
| Notes payable to banks and others | Personal loans and lines of credit, including home equity lines. | Include lines of credit even if the balance is small. Describe each one. |
| Installment accounts              | Auto loans and other installment debt, with monthly payments.    | Match balances to your latest statements.                                |
| Loans on life insurance           | Any amount borrowed against a policy.                            | Also reduces the cash value you list as an asset.                        |

| Line                     | What to put                                                       | Watch out for                                      |
|--------------------------|-------------------------------------------------------------------|----------------------------------------------------|
| Mortgages on real estate | Balance on each property. Details go on the real estate schedule. | Include second mortgages.                          |
| Unpaid taxes             | Any taxes owed and not yet paid.                                  | Disclose them. Surprises later are worse.          |
| Other liabilities        | Credit card balances, student loans, anything else.               | Credit cards are the most commonly forgotten item. |

### The one formula on the form

Net worth = Total assets minus Total liabilities. Double-check the math. Lenders notice when totals do not add up.

## Contingent liabilities: what you could owe

A contingent liability is a debt you might have to pay if something else goes wrong. It does not show up on your credit report the same way, which is why people forget it.

- **As endorser, co-maker, or guarantor.** Every loan you have personally guaranteed, including your own business's loans, equipment leases, and building leases. This is the big one. List them all.
- **Legal claims and judgments.** Lawsuits you are part of, or judgments against you.
- **Provision for federal income tax.** Taxes you expect to owe that are not yet due.
- **Other special debt.** Anything else you could be on the hook for.

## Income

Annual amounts, usually from your most recent tax return or current pay: salary, net investment income, real estate income, and other income (describe the source). Keep it consistent with your tax return. If this year is very different, add a note explaining why.

## Real estate schedule

For each property you own, lenders commonly want:

- Type of property and address
- Date purchased and original cost
- Present market value
- Name of mortgage holder, mortgage balance, and monthly payment
- Status of the mortgage (current or late)

If you own property through an LLC or with others, say so and show your ownership share. Rental properties on your tax return (Schedule E) should appear here, too.

## Signing and dating

Sign and date the statement. Lenders rely on it, and knowingly false statements on a loan application can carry serious legal penalties. Lenders typically want a recent PFS; ask how recent yours needs to be.

## Common mistakes (and easy fixes)

| Mistake                                       | Fix                                                                                                              |
|-----------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| Listing life insurance face value as an asset | List only cash surrender value.                                                                                  |
| Forgetting personal guarantees                | List every guarantee under contingent liabilities, including your own business's debt and leases.                |
| Leaving off credit cards or a HELOC           | Pull your credit report and match every account.                                                                 |
| Optimistic home or property values            | Use a tax assessment, recent appraisal, or conservative comparable sales.                                        |
| Math that does not add up                     | Recheck totals. Net worth should equal assets minus liabilities.                                                 |
| A stale date                                  | Update the PFS if it is more than a few months old or after a big change. Ask your lender how recent it must be. |
| Mismatch with tax returns or credit report    | If your tax return shows a rental property or your credit report shows a loan, it belongs on the PFS.            |
| Mixing business and personal                  | Business cash, equipment, and debt belong on the business balance sheet.                                         |
| Leaving sections blank                        | Write "none" or "0" so the lender knows you did not skip it.                                                     |
| Not signing                                   | Unsigned statements usually come right back.                                                                     |

## A quick example (fictional, example data only)

| Assets                    | Amount           | Liabilities              | Amount           |
|---------------------------|------------------|--------------------------|------------------|
| Cash in banks             | \$42,000         | Mortgage on home         | \$210,000        |
| Retirement accounts       | \$185,000        | Auto loan                | \$18,500         |
| Brokerage account         | \$60,000         | Credit cards             | \$4,200          |
| Life insurance cash value | \$12,000         | HELOC                    | \$15,000         |
| Home (market value)       | \$420,000        |                          |                  |
| Vehicles                  | \$28,000         |                          |                  |
| <b>Total assets</b>       | <b>\$747,000</b> | <b>Total liabilities</b> | <b>\$247,700</b> |
|                           |                  | <b>Net worth</b>         | <b>\$499,300</b> |

Contingent liabilities in this example: personal guarantee on a \$350,000 business loan and a building lease. Those do not reduce net worth on the form, but they must be listed.

### Please note

Educational use only, not an offer of credit. Not financial, legal, or tax advice. Forms and requirements vary by lender and change over time. Use the current form your lender provides or the current SBA Form 413 from SBA.gov.